

AIM

BP.090 BUSINESS PROCEDURE DOCUMENTATION

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Procedure -- <Process Name>

<Company Short Name> Process: <Process Name>	Business Area: <Business Area>	Date: <Date>
Control Number: <Control Number>	Design Team: <Design Team>	Process Owner: <Process Owner>
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Scope

This procedure covers issuing credit memos to customers.

This procedure does not cover:

- authorizing credit memos resulting from customer debit memos and invoice errors (refer to Customer Debit Memos [PROC1050])
- authorizing credit memos for and processing returned product (refer to Issuing Returned Material Authorizations [PROC1079])
- issuing credit balance and refund checks to customers (refer to Credit Balances and Refunds [PROC1057])
- correcting receipt application errors (refer to Customer Receipts - Cash Application Adjustments [PROC1034])

System References

Applications [NAV0920]

Credit Memo [NAV0918]

Print Invoices

RMA Interface [NAV1716]

Submit Requests [NAV2095]

Policy

Credit memos are:

- required to credit a customer account for returned product
- required to issue a miscellaneous credit to a customer account; for example, to correct invoicing errors, to credit customers for returned product, and to retroactively adjust prices
- not required to correct payment application errors or to issue checks for customer credit balances and refunds
- issued no later than two working days upon receipt of an approved RMA or authorization letter

An approved **Returned Material Authorization** is required to authorize a customer credit memo for returned product.

An **authorization letter** or memo is required to authorize a customer credit memo resulting from an invoice error or account adjustment.

Invoices are:

- processed separately from credit memos (that is, at a different time of day and in a different data processing batch)
- printed on a different color paper than credit memos (that is, the computer forms are different colors)

Credit memo approvals are based on the credit amount.

A **miscellaneous credit** is defined as any credit memo that does not result from a product return from a customer.

Miscellaneous credits valued at \$10,000 or less require the approval of the controller, the credit manager, or the district sales manager.

Miscellaneous credits valued at more than \$10,000 require the approval of:

- the controller, credit manager, or district sales manager AND
- the vice president of Finance or the vice president of Sales

Miscellaneous credits valued at more than \$25,000 require the approval of :

- the controller, credit manager, or district sales manager AND
- the vice president of Finance or the vice president of Sales AND
- the president

Product returns for credit

- must be approved by the controller, regardless of product value
- valued at more than \$1,000 must be approved by the vice president of Finance
- valued at more than \$10,000 must be approved by the vice president of Sales

- valued at more than \$25,000 must be approved by the president
- must be received within one year of the date of purchase
- cannot exceed the approved return quantity listed for any single product (for example, the RMA does not authorize the customer to return
- product consisting of any items or quantities up to a certain dollar limit; rather, it authorizes the return of specific quantities of specific products)
- must arrive in "like new" condition, unless the product was defective or damaged when the customer received it
- require an approved RMA form
- may be subject to a restocking charge of 20% to cover overhead, handling, and financing costs
- may be subject to a refurbishing charge if the product is reworked or regraded

Restocking charges do NOT apply to returned product if:

- the customer returns the product within 60 days of receipt, AND
- the company is liable for the product failure or defect, OR
- the customer was shipped the wrong product

Refurbishment charges to do NOT apply to returned product if:

- the customer returns the product within 60 days of receipt, AND
- the company is liable for the product failure or defect, OR
- the customer was shipped the wrong product

Customer documentation (for example, credit memos and correspondence) are maintained in the customer service department.

Responsibility

The **customer service manager** is responsible for:

- determining credit memo amounts
- verifying and approving customer credit memos

The **customer service representative** is responsible for :

- generating customer credit memos
- maintaining customer documentation files

The **accounts receivable clerk** is responsible for maintaining customer documentation files.

Distribution

accounts receivable clerk

customer service manager

customer service representative

Ownership

The customer service manager is responsible for ensuring that this document is necessary, that it reflects actual practice, and that it supports corporate policy.

Activity Preface

This activity is performed when an approved Returned Material Authorization or authorization letter is forwarded to the customer service manager.

All requests to issue credit memos resulting from invoice or account errors are communicated to the credit department. The credit analyst prepares the credit memo authorization letter and submits it to the customer service manager. Refer to Invoice Corrections [PROC1049] and Customer Debit Memos [PROC1050].

This procedure continues from:

- Customer Debit Memos [PROC1050]
- Invoice Corrections [PROC1049]
- Inspecting Returned Product [PROC1082]

Tasks

Customer Service Manager

1. Verify that all required approval signatures have been obtained on the credit memo request document.

A Returned Material Authorization is used to request a credit memo for returned product.

An authorization letter or memo is used to request a miscellaneous credit memo that does NOT involve returned product (for example, to correct an invoice or customer account error).

For returned product, determine whether the approval signatures on the RMA are consistent with those required for the value of the product being returned. Refer to the Returned Material Authorization Table.

For a miscellaneous credit, determine whether the approval signatures on the authorization letter (or memo) are consistent with those required for the credit amount. Refer to the Credit Memo Authorization Table.

Returned product credit

- Review the RMA to determine whether the returned product is being reworked or regraded.

A refurbishment charge (rather than a restocking charge) will be applied to the credit memo if the product is being reworked or regraded.

- Determine whether a restocking charge applies to this product return.

Refer to the policies regarding restocking charges.

- Record the restocking charge on the RMA, if needed.
- Determine the credit amount.

Calculate the credit amount by deducting any restocking or refurbishing charges from the product value. The RMA form should indicate the product value and any charges.

- Record the credit amount on the RMA.
- Sign the RMA.

Miscellaneous credit

- Verify that the credit amount conforms to corporate policy.
- Resolve any discrepancy with the credit analyst.
- Record any corrections on the authorization letter.
- Sign the authorization letter.

2. Obtain additional approval signatures, as needed.

If the credit memo is an RMA, go to task #3. Otherwise, go to task #5.

3. Run RMA Interface from Order Entry to Receivables

Oracle Order Entry

N -> Orders, Returns -> Returns -> RMA Interface

RMA Interface

Refer to Notify Receiving Dock [NAV1716].

4. Run Auto Invoices to create credit memos resulting from RMAs.

Oracle Receivables

N -> Control -> Request -> Run

Submit Requests

Refer to Submit the AutoInvoice Program [NAV2095].

Select AutoInvoice Master Program.

Open and Closed Issues for this Deliverable

Open Issues

ID	Issue	Resolution	Responsibility	Target Date	Impact Date

Closed Issues

ID	Issue	Resolution	Responsibility	Target Date	Impact Date